IN THE NATIONAL COMPANY LAW TRIBUNAL

PRINCIPAL BENCH,

AT NEW DELHI

CAA-160 (PB)/2018

Under Section 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

In the matter of:

SCHEME OF AMALGAMATION

OF

Erudite Shares and Securities Private Limited

Transferor Company No. 1

AND

Swirl Portfolio Private Limited

Transferor Company No. 2

AND

Manomay Apparels Private Limited

Transferor Company No. 3

AND

Quiet Minds Resorts Private Limited

Transferor Company No. 4

AND

Monk Resorts Private Limited

Transferor Company No. 5

AND

Kunsons Metals Limited

Transferor Company No. 6

WITH

Balar Marketing Private Limited

Transferee Company

Judgment delivered on: ***07.06.2018***

CORAM:

CHIEF JUSTICE (Rtd.) M.M. KUMAR, Hon'ble President

Mr. S. K. MOHAPATRA, Hon'ble Member (T)

Present:

For Petitioners: Mr. Arun Saxena, Mr. Rahul Singh, Advocates

: Mr. Sanu Pastore, CS

For RD: Mr. C. Balooni, Company Prosecutor

For OL: Mr. Ayush Batra, Mr. Amish Tondon, Advocates

For ITD: Ms. Lakshmi Gurung, Standing Counsel

Ms. Esha Kadian, Advocate

ORDER

S. K. MOHAPATRA, MEMBER

1. This Joint application has been filed by the Petitioner Companies under Sections 230 and 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, for the purpose of the approval of the Scheme of Amalgamation of the all transferor companies into the Transferee Company. The copy of the Scheme of Amalgamation (hereinafter referred as the "Scheme") has been placed on record.

2. The "Transferor Company No. 1", M/s Erudite Shares and Securities Private Limited was incorporated on 21.05.2009 under the provisions of companies Act, 1956, having its registered office situated at 304, III Floor, Parmesh Corporate Tower Plot No. 13, Karkardooma community Centre Delhi, East Delhi 110092.

3. The "Transferor Company No. 2", M/s Swirl Portfolio Private Limited was incorporated on 15.12.2009 under the provisions of companies Act, 1956, having its registered office situated at

304, III Floor, Parmesh Corporate Tower Plot No. 13, Karkardooma community Centre Delhi, East Delhi 110092.

4. The "Transferor Company No. 3", M/s Manomay Apparels Private Limited was incorporated on 17.08.2007 under the provisions of companies Act, 1956, having its registered office situated at 304, III Floor, Parmesh Corporate Tower Plot No. 13, Karkardooma community Centre Delhi, East Delhi 110092.

5. The "Transferor Company No. 4", M/s Quiet Minds Resorts Private Limited was incorporated on 29.07.2011 under the provisions of companies Act, 1956, having its registered office situated at 304, III Floor, Parmesh Corporate Tower Plot No. 13, Karkardooma community Centre Delhi, East Delhi 110092.

6. The "Transferor Company No. 5", M/s Monk Resorts Private Limited was incorporated on 28.07.2011 under the provisions of companies Act, 1956, having its registered office situated at 304, III Floor, Parmesh Corporate Tower Plot No. 13, Karkardooma community Centre Delhi, East Delhi 110092.

7. The "Transferor Company No. 6", M/s Kunsons Metals Limited was incorporated on 22.11.1985 under the provisions of companies Act, 1956, having its registered office situated at

D-99, Block D, 3rd Floor, Jhilmil Colony, Delhi East, Delhi - 110095.

8. The "Transferee Company", M/s Balar Marketing Private Limited was incorporated on 20.10.1992 under the provisions of companies Act, 1956, having its registered office situated at 217, Functional Industrial Estate, Patpar Ganj, Delhi – 110092.

9. A perusal of the petition discloses that initially the First Motion joint application seeking directions for convening or dispensing with the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of all the petitioner companies was filed before this Bench vide Company Application (CAA) No. 170/(PB) /2018 and based on such joint application moved under Sections 230-232 of the Companies Act, 2013, the meetings of the Equity Shareholders, Secured Creditors and unsecured creditors of each of the Petitioner companies were dispensed with vide order dated 12.10.2018 passed by this Bench.

10. Thereafter, on 13th November 2018 the Petitioners were directed to carry out publication in the 'Business Standard' English Delhi Edition as well as in 'Jansatta' Hindi Delhi Edition. In addition to above, notices were directed to be served

on the Regional Director (Northern Region), Registrar of Companies, NCT of Delhi and Haryana, Official Liquidator, the Income Tax Department and to the other relevant sectoral regulators.

11. It is seen from the records that the Petitioners have filed affidavits dated 26.12.2018 affirming compliance of the order passed by the Tribunal dated 13.11.2018. A perusal of the affidavit discloses that the petitioners have affected the newspaper publication as directed in one issue of the 'Business Standard' English edition on 11.12.2018 as well as in 'Jansatta' Hindi edition again on 11.12.2018 in relation to the date of hearing of the petition. Further, the affidavit also discloses that copies of petition have been duly served to the Registrar of Companies, Regional Director, Northern Region and Income Tax Department in compliance of the order and in proof of the same acknowledgement made by the respective offices have also been enclosed.

12. The Regional Director has filed its report dated 15.02.2019 and relied upon the letter dated 04.01.2019 filed by the Registrar of Companies in which it has been submitted that in reference with clause 8.6 of the Scheme the petitioners shall be

directed to comply with the provisions of Section 232 (3)(i) of the Companies Act, 2013. However, no other material objection against the Scheme has been raised in the report.

13. In this regard it is made clear that the transferee company shall ensure due compliance of provisions of Section 232 (3)(i) of the Companies Act, 2013, in respect of fee payable in case of increase in authorized capital pursuant to approval of the Scheme.

14. The Official Liquidator has filed its report wherein no material objection has been raised in relation to the Scheme. It is submitted in the report that the official liquidator has not received any complaint against the proposed Scheme from any person/party interested in the Scheme in any manner and that the affairs of all the transferor companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest.

15. The department of Income Tax has also filed its letter dated 03.01.2019 and submitted that the department has no objection against the proposed Scheme.

16. Be that as it may, in order to protect the interest of revenue, it is clarified that there shall be no limitation on the power of the Income tax Department for recovery of pending Income Tax dues, including imposition of penalties etc. from all the petitioner companies as provided in law.

17. In the joint petition it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Companies.

18. Certificates of respective Statutory auditors of all the petitioner companies have been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013.

19. The shareholders of the applicant companies are the best Judges of their interest, fully conversant with market trends, and therefore, their decision should not be interfered with by the Tribunal for the reason that it is not a part of judicial function to examine entrepreneurial activities and their commercial

decisions. It is well settled that the Tribunal evaluating the Scheme of which sanction is sought under Section 230-232 of the Companies Act of 2013 will not ordinarily interfere with the corporate decisions of companies approved by shareholders and creditors.

20. In the case of Hindustan Lever Employees Union Vs. Hindustan Lever Limited reported in (1995) 5 SCC 491, the three Judges Bench of Hon'ble Supreme Court has held that:

> *" A company court does not exercise appellate jurisdiction over a scheme and its jurisdiction is limited to ascertaining fairness, justness and reasonableness of the Scheme and to ensure that neither any law has been violated or public interest compromised in the process."*

21. Right to apply for the sanction of the Scheme has been statutorily provided under Section 230-234 of the Companies Act, 2013 and therefore, it is open to the applicant companies to avail the benefits extended by statutory provisions and the Rules.

22. It has also been affirmed in the petition that the Scheme is in the interest of all the transferor companies and also the transferee company including their shareholders, creditors, employees and all concerned.

23. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, and the report filed by the Regional Director, Northern Region, Ministry of Corporate Affairs, report filed by the official liquidator and the report filed by Income Tax Department and also as no objection from any quarter against the Scheme has been received; there appears to be no impediment in sanctioning the present Scheme.

24. *Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013.*

25. The Petitioners shall however remain bound to comply with the statutory requirements in accordance with law.

26. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken, albeit, in accordance

with law, against the concerned persons, directors and officials of the petitioners.

27. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

28. **THIS TRIBUNAL DO FURTHER ORDER**

1. *That all the Transferor Companies shall stand dissolved without following the process of winding-up; and*

2. *That all the property, rights and powers of all the transferor companies, be transferred without further act or deed, to the transferee company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the transferee company.*

3. *That all the liabilities and duties of all the transferor companies, be transferred without further act or deed, to the transferee company and*

accordingly the same shall, pursuant to Section 232 of the Act, be transferred to and become the liabilities and duties of the transferee company; and

4. *That all proceedings now pending by or against any of the transferor companies, be continued by or against the transferee company; and*

5. *That all the employees of all the transferor companies in service, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date shall become the employees of the transferee company on such date without any break or interruption in service and upon terms and condition not less favorable than those subsisting in concerned transferor companies on the said date.*

6. *That Petitioner companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered all the transferor companies shall be dissolved and the Registrar of Companies shall place all documents relating to the*

transferor companies registered with him on the file kept by him in relation to the transferee company and the files relating to all the petitioner companies shall be consolidated accordingly; and

7. *That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.*

The petition stands disposed of in the above terms.

Let copy of the order be served to the parties.

Sd/-

(M.M. KUMAR)

PRESIDENT

Sd/-

(S. K. MOHAPATRA)

MEMBER (T)

Deepak Kumar